CLOSING STATEMENT

Granite Collegiate Commons | San Antonio, TX

Property	Granite Collegiate Commons
Settlement Date	March 1, 2024
Buyer	Beacon Hollow Investors
Seller	Fenwick & Dale Investments
Sale Price	$72,470,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$72,470,000			
Earnest money deposit		$629,726	$629,726	
Real estate tax proration	$153,144			$153,144
Rent proration			$184,340	
Security deposits assumed	$194,289	$194,289		
Prepaid rents			$469,687	$469,687
Owner's title policy premium	$356,917			
Lender's title policy premium		$360,221	$360,221	
Escrow fee	$499,252			$499,252
Recording fees			$682,762	
Transfer tax	$357,385	$357,385		
Survey			$448,907	$448,907
Legal fees - Buyer	$56,079			
Legal fees - Seller		$495,181	$495,181	
Broker commission	$139,262			$139,262
Loan origination fee			$229,545	
Lender legal	$66,289	$66,289		
Appraisal fee			$137,174	$137,174
Environmental report	$170,185			
Property condition report		$351,941	$351,941	
Tax escrow deposit	$261,161			$261,161
Insurance escrow deposit			$330,318	
Replacement reserve deposit	$377,359	$377,359		
Utility deposits			$639,452	$639,452
Assumed vendor contracts credit	$14,840			

Report generated 03/01/2024. Figures are unaudited and subject to change.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$72,470,000			
Legal fees - Seller		$677,366	$677,366	
Broker commission	$612,185			$612,185
Loan origination fee			$501,453	
Lender legal	$332,721	$332,721		
Appraisal fee			$368,698	$368,698
Environmental report	$259,791			
Property condition report		$147,965	$147,965	
Tax escrow deposit	$719,700			$719,700
Insurance escrow deposit			$107,353	
Replacement reserve deposit	$76,947	$76,947		
Utility deposits			$612,334	$612,334
Assumed vendor contracts credit	$555,334			
Tenant improvement credit		$684,160	$684,160	
Courier / wire fees	$684,264			$684,264
Municipal certificates			$281,332	
Purchase price	$677,776	$677,776		
Earnest money deposit			$36,931	$36,931
Real estate tax proration	$507,099			
Rent proration		$65,493	$65,493	
Security deposits assumed	$681,537			$681,537
Prepaid rents			$231,578	
Owner's title policy premium	$464,465	$464,465		
Lender's title policy premium			$554,656	$554,656
Escrow fee	$221,580			
Recording fees		$78,231	$78,231	
Transfer tax	$163,354			$163,354
Survey			$154,789	

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Financial Analysis

Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. Effective gross income for the trailing period was $246,000, representing a 10.0% increase over the prior year. The going-in capitalization rate of 7.57% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $342,000 or approximately 25.30 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The going-in capitalization rate of 5.15% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $400,000, representing a 3.3% increase over the prior year.

Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. Pre-leasing for the coming academic year stands at 91.4% with rental rates per bed averaging $991. Debt service coverage ratio was 7.82x on a trailing basis against a covenant minimum of 1.20x.

Net operating income is projected to grow at a compound annual rate of 5.4% over the hold period. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The going-in capitalization rate of 6.00% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Pre-leasing for the coming academic year stands at 93.9% with rental rates per bed averaging $991. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The going-in capitalization rate of 8.08% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $359,000, representing a 4.0% increase over the prior year. Debt service coverage ratio was 5.75x on a trailing basis against a covenant minimum of 1.20x.

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The going-in capitalization rate of 7.55% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $231,000, representing a 12.4% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period.

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